

for remnants other investors have discarded but that he thinks are really worth a lot more. His daily hope is to find somebody who has something worth \$20 who will sell it to him for \$10. His passion is to identify a “value gap” between what he thinks a stock is worth and the price the market currently has pinned on it.

Value investing is a three-step process:

STEP 1: Measure the value of a company and show that its value is higher than its market price, so that a value gap truly exists. Three common value measures are:

Price to book value

Price to cash flow

Private market value, which is roughly what the company would fetch if it were auctioned off tomorrow

STEP 2: Hypothesize an “exit strategy,” a way in which the market will come to its senses and push up the market price of the stock to its true value, now known only to you. Some exit strategies:

Company is acquired.

An unprofitable division is sold, so earnings go up.

Other investors see the light, and market upgrades it to a growth multiple.

STEP 3: Buy the stock and wait for the value gap to close.

For the growth advocate, the value of the company’s assets isn’t meaningful. The important assets for him, such as brands, management skills, patents, or a natural monopoly, don’t appear on the balance sheet anyway.

Value investing is basically based on a static analysis, a concentration on value right now. Your value investor might wear a T-shirt